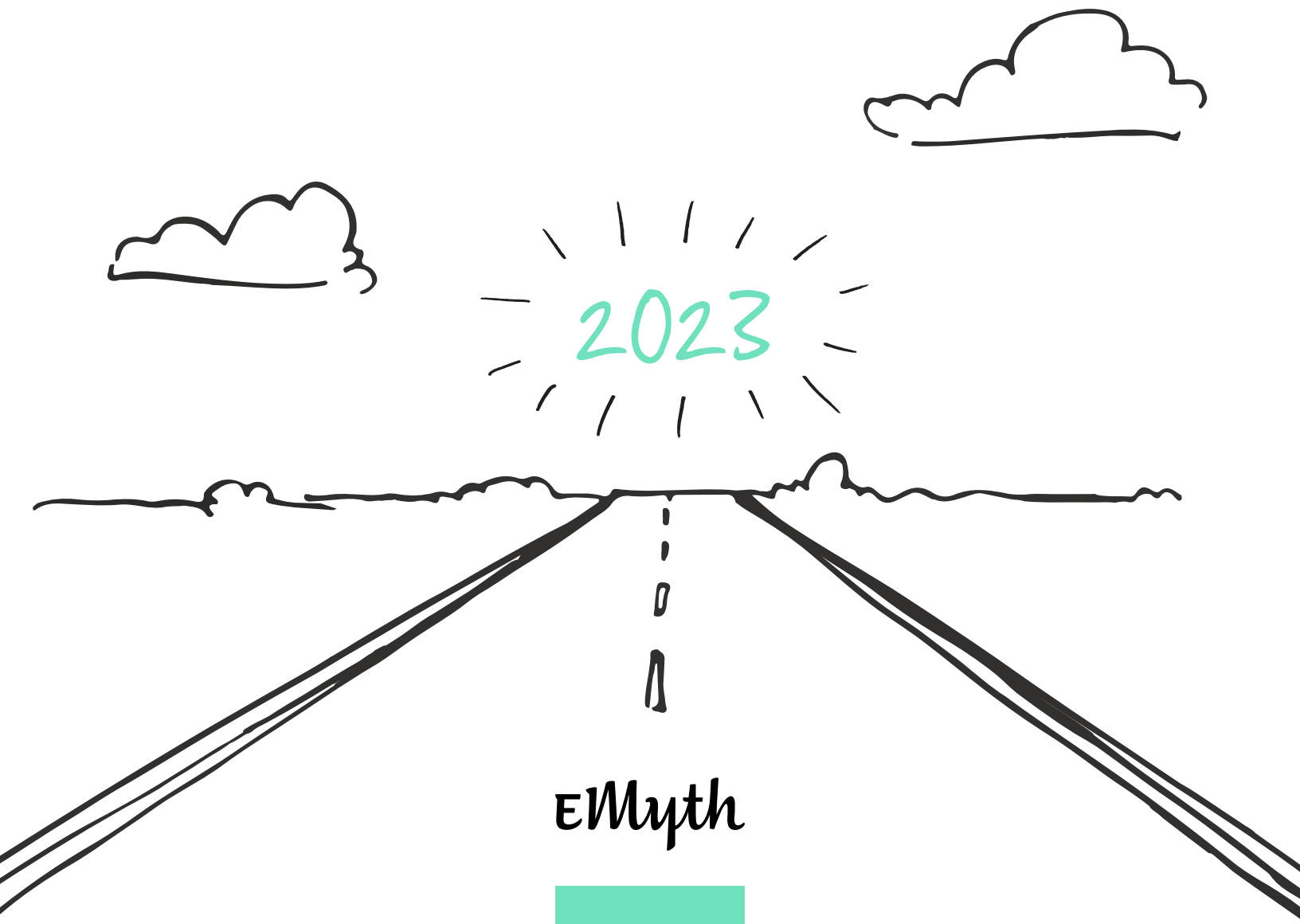


Your Annual Plan

Financial Resilience Edition



EMyth



Why is an annual plan important?

If you've seen your business through to the other side of the pandemic, you're a survivor—and like every business that's weathered the storm for over two years, you've shown signs of one trait that's key to a company's long-term success: resilience. There's little doubt 2023 has more tests in store for business owners. And while there's no knowing what those tests may be, there's one thing that will also safeguard your company more than anything else: having an annual plan that's designed through the lens of becoming more financially resilient.

Put simply, an annual plan is the bridge between the vision you set for your business and the actual work it'll take to move your business toward that vision. But often, annual planning is a rote, static exercise that—if it's done at all—results in a document that gathers dust in a file cabinet.

You're about to discover a new kind of annual plan—one that actually serves you and the health, growth and security of your company. It works because it starts with your passion and gives you the tools to translate that passion into specific actions. This annual plan will also grow and evolve with your business. It'll allow you to adapt to sudden changes such as a loss in a revenue stream or supply issues, helping you learn and improve your process along the way.

Creating a successful annual plan that boosts the financial resilience of your business relies on two things: clearly seeing how each business system is tied to financial health and effectively translating each of your goals in clear projects and tasks. If you can do both these things, you'll head into 2023 with a solid yet flexible roadmap for success, whatever comes your way.

This workbook will help you:

- Understand the importance of creating an annual plan.
- Assess the current performance of your business so you know where to focus.
- Develop clear next steps to achieve your 2023 goals and routinely check in to make sure you're on the right track.

Steps to create your annual plan

The fourth quarter of every year is the right time to start an annual plan. The challenges and accomplishments of the year you're finishing up are fresh, and you avoid the trap of treating your annual plan like a New Year's Resolution with all its good intentions and predictable failures. Set your intention to put meaningful time and thought into where you are now and how you want to build on that in the next year.

Step 1: Imagine what it would be like to have real financial resilience

Step 2: Assess the current state of your business

Step 3: Prioritize your goals

Step 4: Create quarterly milestones and monthly actions to lead you toward your annual goals

Step 5: Empower your team to track and own results

Step 6: Document your process and be prepared to adapt to the unexpected

Worksheet

1. IMAGINE WHAT IT WOULD BE LIKE TO HAVE REAL FINANCIAL RESILIENCE

Take a moment to imagine what you want to accomplish in the coming year. Answer the following questions:

What kind of impact do you want your business to make in 2023?

What are a few key targets you'd like to reach in 2023?

Do any of your targets *not* serve the goal of building more financial strength or flexibility? Note that here and include why that target feels like a priority for 2023.

When will you finish documenting this plan? Set a deadline:

How and when will you roll out your plan to your team? Think of how you'll demonstrate for your team the connection between each of your annual plan goals and greater financial resiliency.

Keep in mind, this isn't your final version. You may want to revisit these questions after you've completed the following assessment to make sure your plan is in line with what your business really needs to tie each of your quarterly goals and projects to the larger goal of financial strength. Don't be afraid to rework and revise. This plan will be your guide for the year ahead, and it should accurately reflect your goals and priorities while also giving you space to be flexible in case you need to pivot.

Here's where you can capture whatever comes to mind as you consider your goals for 2023 and how they work to both move your company forward and build greater financial flexibility: What's the impact you want your business to have on your customers, your family, your life and all of your business's stakeholders? This is also a great place to add any assumptions you have, and contingency ideas in case unseen obstacles block or change your planned goals.

2. ASSESS THE CURRENT STATE OF YOUR BUSINESS

One of the most important steps in creating an annual plan that's anchored in building financial resilience is to take an honest look at the current state of your business. You can't achieve your goals and key targets on top of ineffective or broken systems. Keep this in mind as you answer the following questions to assess how each of your Seven Essential Systems currently supports the financial health of your business.

For this exercise, answer each item honestly and objectively so you have a clear and truthful understanding of where you and your business stand now. This will uncover opportunities for where to improve your current systems so they more strongly impact financial growth.

LEADERSHIP

On a scale of 1 to 10 (with 1 being least positive, 10 being most positive), how would you rate your current leadership abilities?

Why did you choose this score? What do you think would make it a 10?

Are you in touch with your values and company vision to ensure you create a business that's personally satisfying, financially stable and reflective of your needs and aspirations?

☐

YES

☐

NO

☐

UNSURE

Have you communicated your company's future direction—along with your standards, expectations and measures for financial performance—to your employees in a way that challenges and inspires them to perform?

☐

YES

☐

NO

☐

UNSURE

Have you established the systems and structures that allow employees to be the most effective they can be?

☐

YES

☐

NO

☐

UNSURE

Do you communicate clearly and directly, even in difficult situations?

☐

YES

☐

NO

☐

UNSURE

MARKETING

On a scale of 1 to 10 (with 1 being least positive, 10 being most positive), how would you rate the effectiveness of your company's brand?

Why did you choose this score? What do you think would make it a 10?

Do you know the financial projections of your target market?

☐

YES

☐

NO

☐

UNSURE

Do you know what experience your prospects truly want?

☐

YES

☐

NO

☐

UNSURE

If so, are you providing it?

☐

YES

☐

NO

☐

UNSURE

Does your company intentionally attract prospects that fit within your finance model?

☐

YES

☐

NO

☐

UNSURE

Does your current target market meet your projected profit goals?

☐

YES

☐

NO

☐

UNSURE

If you answered "no" or "unsure" to any of the questions above, what are some specific examples of what's missing from your Marketing System? What additional marketing goals do you have for 2023?

FINANCE

On a scale of 1 to 10 (with 1 being least positive, 10 being most positive), how would you rate the financial health of your company?

Why did you choose this score? What do you think would make it a 10?

Do you know what financial reports you need?

☐

YES

☐

NO

☐

UNSURE

Of your current financial reports, can you understand what the numbers are telling you about your business?

☐

YES

☐

NO

☐

UNSURE

Do you know what financial roles you need in your organizational structure? (CFO, Controller, CPA, etc.)

☐

YES

☐

NO

☐

UNSURE

If so, have you filled those roles?

☐

YES

☐

NO

☐

UNSURE

If you answered "no" or "unsure" to any of the questions above, what are some specific examples of what's missing from your Financial System? What additional financial goals do you have for 2023?

MANAGEMENT

On a scale of 1 to 10 (with 1 being least positive, 10 being most positive), how would you rate your management ability and the effectiveness of the other managers in your company?

Why did you choose this score? What do you think would make it a 10?

Is the size of your organizational structure aligned with your desired revenue and profit goals?

☐

YES

☐

NO

☐

UNSURE

Do you and your staff have a systematic strategy for producing predictable financial results?

☐

YES

☐

NO

☐

UNSURE

Are your results in line with your vision?

☐

YES

☐

NO

☐

UNSURE

Do you have a plan to improve them?

☐

YES

☐

NO

☐

UNSURE

Does your management approach bring your employees into the financial conversation in a way that fully engages them in financial performance?

☐

YES

☐

NO

☐

UNSURE

If you answered “no” or “unsure” to any of the questions above, what are some specific examples of what’s missing from your Management System? What additional management goals do you have for 2023?

LEAD GENERATION

On a scale of 1 to 10 (with 1 being least positive, 10 being most positive), how would you rate your company's current lead generation activities and your ability to generate the right number of quality leads?

Why did you choose this score? What do you think would make it a 10?

Do you know the return of your lead generation process?

☐

YES

☐

NO

☐

UNSURE

Do you know the profit of each of your lead gen channels?

☐

YES

☐

NO

☐

UNSURE

Are your return and your profit in alignment with your goals?

☐

YES

☐

NO

☐

UNSURE

If you answered "no" or "unsure" to any of the questions above, what are some specific examples of what's missing from your Lead Generation System? What additional lead generation goals do you have for 2023?

LEAD CONVERSION

On a scale of 1 to 10 (with 1 being least positive, 10 being most positive), how would you rate your company's ability to generate the desired level of sales revenue?

Why did you choose this score? What do you think would make it a 10?

Do you have a lead conversion rate standard?

☐ YES ☐ NO ☐ UNSURE

Is your standard being met?

☐ YES ☐ NO ☐ UNSURE

Is your conversion standard in line with your financial goals?

☐ YES ☐ NO ☐ UNSURE

Do you have a system for taking advantage of referrals from existing customers?

☐ YES ☐ NO ☐ UNSURE

Are you taking advantage of selling to existing and/or past customers again?

☐ YES ☐ NO ☐ UNSURE

If you answered "no" or "unsure" to any of the questions above, what are some specific examples of what's missing from your Lead Conversion System? What additional lead conversion goals do you have for 2023?

CUSTOMER FULFILLMENT

On a scale of 1 to 10 (with 1 being least positive, 10 being most positive), how would you rate your company's ability to deliver your products and/or services to customers in a way that consistently meets and often exceeds their expectations?

Why did you choose this score? What do you think would make it a 10?

Do you have a strategy in place to reduce the cost of providing your product or service without sacrificing value?

☐ YES ☐ NO ☐ UNSURE

Are you ensuring that your team is delivering your products and services to customers on time, all the time, exactly as promised?

☐ YES ☐ NO ☐ UNSURE

Do you have a standard for an acceptable amount of returns?

☐ YES ☐ NO ☐ UNSURE

If so, are you meeting that standard?

☐ YES ☐ NO ☐ UNSURE

Do you have a process for investigating and resolving a high level of returns?

☐ YES ☐ NO ☐ UNSURE

If you answered "no" or "unsure" to any of the questions above, what are some specific examples of what's missing from your Customer Fulfillment System? What additional customer fulfillment goals do you have for 2023?

3. PRIORITIZE YOUR GOALS: TAKE A FIRST PASS

Now that you hopefully have a better sense of where your systems stand in relation to their financial impact on the business, it's time to start prioritizing projects that will lead to creating more financial health in 2023.

Using the business assessment you just completed, rank each of [The Seven Essential Systems](#) from least to most developed. Once you've listed each of the systems, determine your top three priorities within each category. Review the follow-up questions from your assessment to get started.

A note about priorities: Commit to a short, realistic list of projects that reflects the needs you've discovered while assessing your business. Put all other ideas on a "someday/maybe" list.

1.	
1.1	
1.2	
1.3	
2.	
2.1	
2.2	
2.3	
3.	
3.1	
3.2	
3.3	
4.	
4.1	
4.2	
4.3	

5. _____

5.1 _____

5.2 _____

5.3 _____

6. _____

6.1 _____

6.2 _____

6.3 _____

7. _____

7.1 _____

7.2 _____

7.3 _____

PRIORITIZE YOUR GOALS: TAKE A SECOND PASS

Pause. Step away from this process for a few hours, or even days. You've put a lot of work in already. Now it's time to clarify your priorities even further. You don't want to go into 2023 with a nebulous pile of undefined goals. Come back to your priorities list with a fresh mind, and pick the **top 10 things** you need to do next year to get closer to achieving your vision.

Priority goal #1

Priority goal #2

Priority goal #3

Priority goal #4

Priority goal #5

Priority goal #6

Priority goal #7

Priority goal #8

Priority goal #9

Priority goal #10

4. CREATE QUARTERLY MILESTONES AND MONTHLY ACTIONS TO LEAD YOU TOWARD YOUR ANNUAL GOALS

Now it's time to translate your priority goals into *actions*. Use the guide below to map out your year with quarterly goals and monthly actions. If your first quarter doesn't align with the fiscal calendar, change the months in the chart below to match your quarterly cycle.

1st Quarter goals

Monthly actions

JAN

FEB

MAR

2nd Quarter goals

APR

MAY

JUN

3rd Quarter goals

JUL

AUG

SEP

4th Quarter goals

OCT

NOV

DEC

4. EXAMPLE

1st Quarter goals

Finance:

Create a financial plan for growing the business, and develop and implement systems needed to support this.

Monthly actions

- JAN 15** *Analyze our financial statements and find areas that need improvement.
Revise our key financial indicators.*
- FEB 15** *Create a budget and forecast to support attaining financial targets.*
- MAR 1** *Work with managers to identify and develop needed systems.*

2nd Quarter goals

Leadership and Management:

Become a more inspirational leader and implement key financial and management systems throughout the company.

- APR 1** *Hold a company meeting to talk about our vision and financial goals.
Develop a process for employee engagement in our company values and vision.*
- MAY 1** *Do a self-assessment and focus on improving my management qualities.*
- JUN 1** *Create two strategies for increasing employees' buy-in to our mission, promise and goals.*

And so on.

Use your organization chart alongside your position agreements to map out actions, accountabilities and due dates.

6. DOCUMENT YOUR PROCESS AND BE PREPARED TO ADAPT TO THE UNEXPECTED

One of the most effective (yet often neglected) ways to make sure your annual plan allows you to adapt to unexpected change is to look at the assumptions involved in creating it and consider any contingencies you may need to put in place. This worksheet will help you do that. It may also be useful to make copies of this document before you begin.

In the columns below, list the assumptions you've used in this planning process. In other words, what have you taken for granted? That your team will stay the same? That your business will continue to grow at its current pace organically? Once you've identified those assumptions, list the parts of your business plan that are affected by each assumption and the indicators to watch over time—these will tell you if your assumptions are correct. Then, select the date when you'll review those indicators to see if your assumptions are on track.

At the time of your review, determine whether or not you need to reassess those portions of your business plan. If you do want to change your plan at that time, use the worksheet in the previous step to identify each item that needs to be adjusted, who will be accountable for revising it and when it's due.

PLANNING ASSUMPTIONS	PARTS OF BUSINESS PLAN AFFECTED	INDICATORS TO WATCH	NEXT REVIEW DATE	CHANGE REQUIRED?

What's next?

It feels good to start taking control of your business, doesn't it? Don't lose your momentum!
Here are next steps to help you stay on track next year.

1. Schedule time to finish your annual plan.

- I will write my first priority goals: _____ (date, time)
- I will review and edit my priority goals: _____ (date, time)
- I will assign accountabilities and due dates: _____ (date, time)

2. Bring in your team. Share your annual plan and empower your people to take responsibility for it.

3. Schedule time each month to revisit your plan. Be sure to document your process and make adjustments as needed. Not only will this help you keep on track with your goals, it'll also be a source of learning and inspiration for next year's plan. Make an appointment with yourself on your calendar for a specific day and time to do this.

This process is meant to give you clarity about the organization of your business—both what's missing and what you should be proud of.

We know it can feel daunting to go through this process on your own. But you don't have to. If you want help assessing your business and planning to achieve your 2023 goals, [schedule a free session with an EMyth Coach](#) and start making real change in your business.